



Technology Governance Program Guide

Financial Industry Regulatory Authority (FINRA)

A complete overview of the Centience governance model built for FINRA-regulated organizations.

1. The FINRA Governance Imperative

FINRA member firms face governance obligations across Rules 3110, 4370, 4511, and a growing body of guidance on cybersecurity and technology:

- Rule 3110 requires supervision of all activities. Technology governance is a supervised activity. Your written supervisory procedures must reflect how technology governance is supervised.
- Rule 4370 requires a tested business continuity plan covering technology systems. The program provides the infrastructure visibility and testing cadence to make BCP credible.
- FINRA annual examination priorities consistently include technology governance, cybersecurity, and electronic recordkeeping. A program-level approach converts examination preparation from a fire drill to a continuous state.
- The Centience model connects WSPs and policies to technical enforcement through managed infrastructure so supervision evidence is produced automatically rather than assembled before each exam.

2. Phase 1 — FINRA Governance Assessment

The assessment establishes your current governance posture against FINRA requirements. Scope includes:

- WSP Review: Evaluate written supervisory procedures against current technology operations. Identify gaps where WSPs describe activities that are not technically enforced.
- Cybersecurity Baseline: Endpoint management, MFA deployment, email security, remote access controls, and network segmentation evaluated against FINRA cybersecurity expectations.
- Electronic Recordkeeping: Communications archiving coverage, WORM storage compliance, and retention configuration evaluated against Rules 4511, 4512, and 17a-4.
- BCP Assessment: Rule 4370 compliance review including written BCP, last test date, technology recovery procedures, and alternative communications.
- Deliverable: Prioritized risk register with FINRA rule citation, risk rating, and remediation guidance.

3. Phase 2 — FINRA Governance Roadmap

The roadmap sequences remediation against FINRA examination risk and WSP compliance requirements:

- Critical within 30 days: Active supervision failures including activities occurring outside WSP framework, recordkeeping gaps, and unarchived communications channels.

- High within 90 days: Likely examination findings including outdated BCP, MFA gaps on financial systems, and unmanaged devices with firm communications.
- Medium within 180 days: Indirect examination exposure including incomplete vendor documentation, access review gaps, and outdated cybersecurity policy.
- Roadmap integrates WSP update requirements alongside technical remediation so policy and practice remain aligned throughout implementation.

4. Phase 3 — FINRA Ongoing Governance Program

The program phase converts remediation into continuous governance aligned to FINRA examination expectations:

- Monthly: Supervisory review log verification, electronic communications archive sampling, patch status review, and access review for financial systems.
- Quarterly: WSP review and update, BCP review and update, access review documentation, vendor due diligence refresh, and governance dashboard for CCO.
- Annually: Full governance assessment refresh, BCP test per Rule 4370, incident response tabletop, penetration test, and FINRA examination priority review and gap assessment.
- Examination Support: Standing examination file with all standard FINRA document request items updated quarterly with document production support within 24 hours of examination notice.

5. FINRA Regulatory Change Management

FINRA issues rulemaking notices, regulatory notices, and examination findings regularly. The governance program includes proactive regulatory monitoring:

- Monitoring: FINRA rulemaking notices, regulatory notices, FINRA examination findings reports, and FINRA annual examination priorities letter.
- Impact Assessment: Each regulatory change assessed for WSP update requirements, technical control implications, and training needs within 30 days of publication.
- Centience clients receive proactive notice of FINRA examination priority changes, new regulatory notices requiring policy updates, and enforcement patterns relevant to their firm profile.

6. FINRA Governance Program Readiness Checklist

A mature FINRA governance program should be able to demonstrate:

- Written Supervisory Procedures current and reflecting actual technology operations
- BCP documented and tested within prior 12 months with test results on file per Rule 4370
- Electronic communications archiving operational for all channels used for firm business
- WORM storage compliance evidence for required books and records
- Cybersecurity program documentation current including risk assessment, policies, and incident response
- Supervisory review logs without gaps showing evidence of actual review not just the procedure
- Vendor due diligence program operational with current files for critical technology vendors
- Standing examination file that can produce all standard FINRA document requests within 24 hours

NEXT STEP

Build Your Governance Roadmap

Reading this guide is step one. Step two is knowing exactly where your organization stands and what it takes to close the gaps before a regulator does it for you.

Our assessment delivers a prioritized governance roadmap tailored to your regulatory environment.

WHAT THE ASSESSMENT DELIVERS

- ✓ AI usage discovery across your organization
- ✓ Governance gap analysis by regulatory framework
- ✓ Infrastructure and vendor AI risk review
- ✓ Regulatory exposure analysis (SEC, FINRA, HIPAA)
- ✓ Prioritized governance roadmap
- ✓ Board-ready executive summary
- ✓ Regulatory readiness score by framework

Book Your Assessment →

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